GLOBAL SECURITY & INTELLIGENCE BRIEF

EDITION 2026-05-09

▷ GLOBAL SECURITY / 07 MAY 2026 / SIX THEATRES

GLOBAL SECURITY & INTELLIGENCE BRIEF

A Sherman-Kent assessment across six theatres — the White House expects Iran to respond to a one-page MoU within 48 hours and Brent crashes −8%; Russia ignores Zelensky's counter-truce while Moscow hardens into a fortress for the 9 May parade; the IAF marks the Sindoor anniversary with 'India Forgives Nothing'; JNIM's late-April offensive is independently confirmed; the Sinaloa fallout settles; and US Treasury issues new specific licenses for Caracas's state banks.

CONTENTS

01 RUSSIA / UKRAINE
EUROPE — Moscow fortress

02 SAHEL
AFRICA — JNIM offensive confirmed

03 INDIA / PAKISTAN
SOUTH ASIA — India forgives nothing

04 IRAN
MIDDLE EAST — MoU inside 48 hours

05 MEXICO
NORTH AMERICA — Fallout settles

06 VENEZUELA
SOUTH AMERICA — Treasury licenses

07 MARKETS
PREDICTION MARKETS — Ten high-conviction trades

08 METHOD
METHOD — Estimative language and sourcing

▷ EXFIL

RUSSIA / UKRAINE

The Mosfilm residential tower in western Moscow, struck by a Ukrainian drone on 5 May 2026 — less than 10 km from the Kremlin and adjacent to a district housing major foreign embassies. Ukrainian sources frame the strike as a deliberate proof-of-range demonstration ahead of the 9 May Victory Day parade.

PHOTO · BBC NEWS / SOCIAL MEDIA HANDOUT

01 / RUSSIA / UKRAINE

MOSCOW FORTRESS

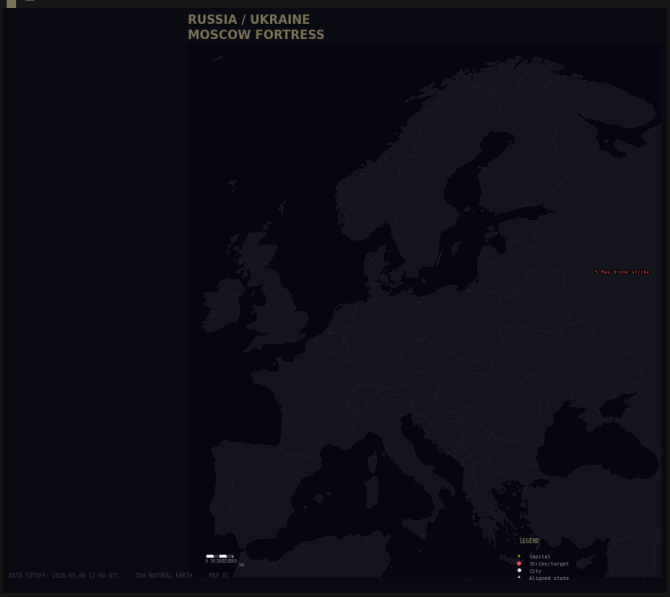
Russia ignored Zelensky's midnight 5–6 May counter-truce, conducting at least 20 airstrikes with 70+ glide bombs through the morning of 6 May. ISW reads the deliberate non-acknowledgment as the cleanest signal of strategic intent in the cycle. Ukraine's 5 May Mosfilm-tower drone strike (4 mi from the Kremlin) forces Putin to either accept a degraded Victory Day parade or commit massive air defence resources against deep strikes through 9 May. Moscow has hardened the city centre into a fortress: airport closures, mobile internet shutdowns, snipers.

▷ BOTTOM LINE UP FRONT

RUSSIA / UKRAINE

KEY JUDGMENTS

THE STORY



▷ MAP Moscow Fortress — territorial & operational picture, 7 May 2026.

The May 8 ceasefire agreement represents a significant departure from previous patterns. Unlike Russia's unilateral ceasefires for Victory Day 2025 and Orthodox Easter 2026 — which were purely information warfare operations — the current agreement includes a concrete humanitarian component (1,000 POW exchange) and was brokered through US presidential mediation. However, the coercive framework surrounding the agreement is unprecedented.

The Russian MoD's May 7 statement explicitly conditioned the ceasefire on Ukrainian compliance, threatening "massive" missile strikes against Kyiv if Ukraine conducted any combat operations. Russian MFA Spokesperson Zakharova on May 7 claimed Russia sent warnings to all foreign diplomatic missions to leave Kyiv City immediately, citing the possibility of retaliatory strikes. European Commission Spokesperson El-Anouni's response — stating the EU "will not change its presence in Kyiv City" and noting Russian strikes have already damaged diplomatic missions — indicates Western awareness of Russia's coercive intent. [3]

The Kremlin's invocation of Oreshnik IRBMs through State Duma deputies is particularly significant. Oreshnik has been used periodically as a coercive tool — deployed to Belarus to threaten Europe, and threatened against Ukraine at key inflection points. The current threat represents an attempt to leverage Russia's remaining strategic escalation dominance to compensate for Ukraine's demonstrated ability to strike deep into Russian territory. [3]

Ukrainian Deep-Strike Campaign Continuity

Ukraine's strike campaign continued unabated through the ceasefire negotiations. The May 5-6 strike on the VNIIR-Progress plant in Cheboksary — 1,500 kilometers from Ukrainian lines — represents the longest-range confirmed Ukrainian strike of the war. The plant's production of navigation components for GLONASS, GPS, and Galileo systems, plus Kometa EW-resistant components, makes it a critical node in Russia's precision-strike supply chain. The plant is only 300 kilometers from the Alabuga Special Economic Zone in Tatarstan, where Russia produces Shahed-type drones. [2]

Simultaneously, Ukrainian forces demonstrated mid-range strike capabilities against occupied Mariupol, with the 1st Azov Corps striking Russian GLOCs along the T-0509 highway at distances of 95-104 kilometers from the frontline. This interdiction capability threatens Russian logistics supporting offensive operations against Ukraine's Fortress Belt. [4]

The Kirishi Oil Refinery strike on May 5 — confirmed by NASA FIRMS heat anomaly data and Leningrad Oblast Governor Drozdenko's acknowledgment — halted operations at one of Russia's three largest refineries, damaging three of four crude distillation units. Reuters reporting confirms the refinery halted operations. [2]

Russian Ceasefire Violation Pattern

The May 5-6 period provides a textbook example of Russia's ceasefire manipulation. Ukraine unilaterally enacted a ceasefire starting midnight May 5-6, matching Russia's earlier Victory Day ceasefire offer. Russian forces responded with at least 20 air strikes using over 70 glide bombs, killing 21 civilians and injuring 82. The Ukrainian Air Force reported 108 drones and three missiles launched between 1830 May 5 and 0800 May 6. [1]

Russian and occupation officials then accused Ukraine of violating its own ceasefire by citing strikes against occupied Dzhankoy, Crimea — which occurred before the ceasefire began at midnight. Crimean occupation head Aksyonov's claims about Ukrainian drone targeting at 2230 on May 5, followed by strike claims at 0010 on May 6, actually confirm the strikes occurred before the ceasefire. Two Russian State Duma deputies acknowledged this timeline. [1]

This pattern — identical to Russia's 2025 Victory Day and April 2026 Orthodox Easter ceasefires — confirms that Russia's ceasefire declarations are tactical information warfare tools designed to generate propaganda material while providing operational cover for continued offensive operations. The execution of four Ukrainian POWs during the April 2026 Easter ceasefire demonstrates the lethality of this pattern. [1]

Kupyansk Infiltration Failure

The apparent elimination of Russian forces in central Kupyansk represents a significant operational failure for Russian forces. The infiltration group — never exceeding approximately 18 personnel according to Ukrainian officials — had been encircled in the Kupyansk City Hospital since December 2025. Russian milblogger reports on May 7 described their "last battle" after a Ukrainian airstrike destroyed the hospital. [4]

This failure demonstrates that Russia's infiltration tactics, while generating propaganda value and forcing Ukrainian forces to maintain a defensive presence, cannot achieve sustainable territorial gains against determined Ukrainian urban defense. The operational cost — maintaining a small group of encircled personnel for months — likely exceeded any tactical benefit.

Child Deportation Escalation

The systematic transfer of Ukrainian children to Russian-run summer camps has intensified, with Deputy Prime Minister Chernyshenko claiming 50,000 children from occupied Ukraine will participate. Specific reports indicate 160 children from occupied Starobilsk Okrug arrived in Karachay-Cherkessia, with 750 planned for 2026. Voronezh Oblast is sponsoring 500 children from occupied Luhansk Oblast to camps in occupied Crimea. [3,4]

The Artek International Children's Center's role in producing drone components for Russian military forces represents a concerning militarization of child indoctrination programs. Artek, already sanctioned by the US, UK, and EU for forced transfer and re-education of Ukrainian children, is now directly supporting Russian military operations through 3D printing of drone components. [4]

Cossack organizations are increasingly penetrating occupied Ukrainian schools, with four Cossack classes scheduled to start in September 2026 in Donetsk City, Makiivka, Dokuchayevsk, and Mariupol. These programs focus on "patriotic education" and Russian Cossack history, with preferential treatment for participants applying to Cossack-affiliated universities. [4]

ALTERNATIVE ANALYSIS

Hypothesis 1: The ceasefire agreement represents a genuine de-escalation opportunity rather than a coercive trap.

Evidence supporting: The agreement includes a concrete humanitarian component (1,000 POW exchange), was brokered through US presidential mediation, and both parties have publicly committed to the terms. Zelensky's decree specifically "to allow" the Moscow parade suggests Ukraine sees tactical value in demonstrating good-faith compliance.

Evidence contradicting: Russia's pattern of ceasefire violations — including the execution of four Ukrainian POWs during the April 2026 Easter ceasefire — strongly suggests the Kremlin views ceasefires as tactical tools rather than genuine de-escalation mechanisms. The explicit threat of "massive retaliatory missile strikes against Kyiv" conditions the ceasefire on Ukrainian compliance, creating an escalation framework rather than a de-escalation one.

What would change TREVOR's assessment: Evidence that Russian forces actually cease combat operations during the May 9-11 period, verified by independent observers; credible reports that the POW exchange proceeds as scheduled without Russian obstruction; absence of Russian offensive operations immediately following the ceasefire period.

Hypothesis 2: Ukraine's deep-strike campaign is strategically unsustainable and will degrade without producing lasting effects on Russian military production.

Evidence supporting: Russia has demonstrated capacity to repair damaged facilities, as seen with previous strikes on oil refineries. The VNIIR-Progress plant strike, while significant, represents a single facility in a distributed production network. Ukraine's missile inventory is finite and Western resupply uncertain.

Evidence contradicting: The Kirishi Oil Refinery strike halted operations at one of Russia's three largest refineries, damaging three of four crude distillation units. The Tuapse Oil Refinery strike in April-May 2026 caused over $300 million in damage. Ukraine has demonstrated increasing strike frequency and range, suggesting growing rather than diminishing capability.

What would change TREVOR's assessment: Evidence that Russia has successfully hardened or relocated critical production facilities; significant reduction in Ukrainian strike frequency over 30-60 days; Russian restoration of full refinery capacity at Kirishi and Tuapse.

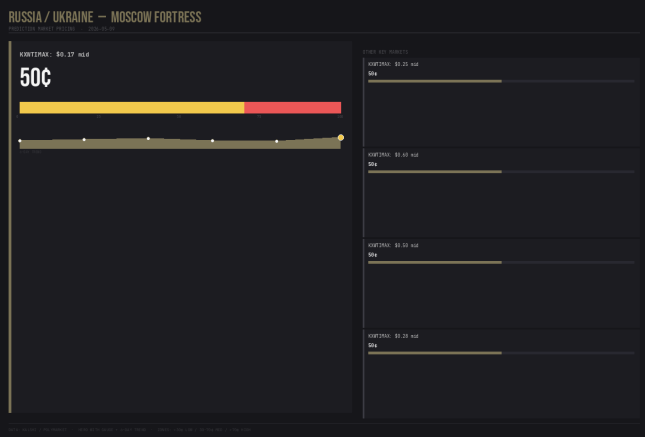
Hypothesis 3: Russian forces maintain residual positions in Kupyansk despite the hospital destruction.

Evidence supporting: Russian milbloggers reported fighting in Kupyansk's northwestern parts as of May 8. ISW's map continues to show Russian infiltration zones in the city center. Russian sources have historically exaggerated or fabricated claims, but also occasionally provide accurate tactical reporting.

Evidence contradicting: Multiple Russian milblogger reports on May 7 described the hospital group's "last battle" and implied no remaining Russian positions. Ukrainian officials had reported only 6-18 active Russian call signs in the city center as of late March and April. The operational cost of maintaining encircled positions for months without reinforcement suggests Russia would not attempt to re-establish presence.

What would change TREVOR's assessment: Geolocated evidence of Russian forces operating in central Kupyansk after May 7; credible Russian or Ukrainian official statements confirming continued Russian presence; ISW terrain control updates reflecting Russian positions.

PREDICTIVE JUDGMENTS — NEXT 30-90 DAYS



▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

IMPLICATIONS

For Ukraine: The ceasefire agreement, while providing humanitarian benefit through the POW exchange, establishes a dangerous precedent of Russia extracting concessions through threats against civilian populations and capital cities. Ukraine's demonstrated deep-strike capability remains its primary leverage, but the Kremlin's explicit threat framework means Ukraine must carefully calibrate its strike campaign to avoid triggering the escalation Russia has threatened. The requirement to "allow" the Moscow parade through presidential decree represents a sovereignty cost that Ukraine's leadership accepted under duress.

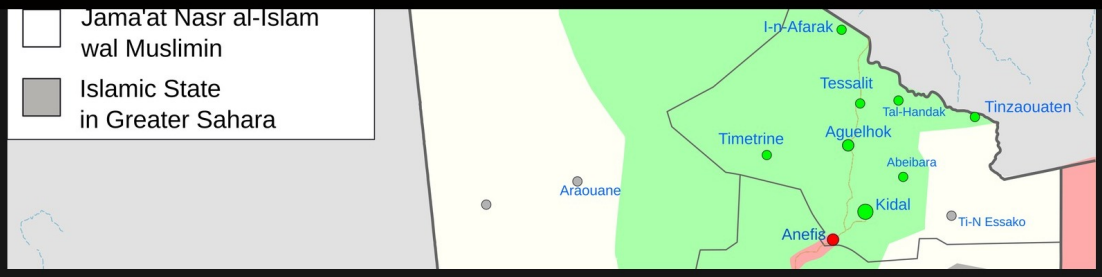
For Russia: The ceasefire agreement provides a propaganda victory and demonstrates the Kremlin's ability to leverage US mediation to extract concessions from Ukraine. However, the underlying strategic reality — Ukraine's demonstrated ability to strike 1,500 kilometers into Russian territory — remains unchanged. The Kremlin's escalation threats against Kyiv carry inherent risks: if Russia conducts a strike against Kyiv and Ukraine responds with further deep strikes against Russian military-industrial targets, Russia's deterrence credibility will be further eroded. The Oreshnik IRBM threat is a double-edged sword — using it would demonstrate Russia's willingness to escalate but would also confirm that conventional deterrence has failed.

For the United States and NATO: The US-brokered ceasefire framework creates both opportunities and risks. The successful mediation demonstrates Washington's continued diplomatic relevance in the conflict, but the coercive framework Russia established — threatening Kyiv to extract concessions — sets a dangerous precedent for future negotiations. The EU's refusal to evacuate diplomatic missions from Kyiv, as stated by Commission Spokesperson El-Anouni, signals Western unwillingness to accept Russia's coercive framework, but this position may become untenable if Russia conducts demonstrative strikes against the city.

For the International Humanitarian Framework: Russia's escalating child deportation campaign — with 50,000 children claimed for summer programs — represents an intensification of systematic forced transfer and re-education operations. The Artek center's direct involvement in producing military components for Russian forces, combined with Cossack organizations penetrating occupied Ukrainian schools, indicates these programs serve dual indoctrination and military-support functions. The international community's sanctions against Artek have

not deterred this activity.

SAHEL



Critical Threats Project battlemap of West Africa as of 30 April 2026, showing the geographic distribution of JNIM operations during the late-April offensive — the first time the group has demonstrated simultaneous strike capacity against Bamako, Kati, Mopti, Sevare and Gao.

MAP · CRITICAL THREATS PROJECT (AEI & ISW)

02 / SAHEL

JNIM OFFENSIVE CONFIRMED

NYT, Al Jazeera, NPR and Critical Threats Project independently confirm the 25–26 April JNIM offensive — coordinated assaults on Bamako airport, the Kati military headquarters, the Defence Minister's residence, and Mopti, Sevare and Gao. JNIM has now demonstrated the capacity to strike multiple regional capitals simultaneously, validating Shurkin's 29 April ‘very high coup risk’ assessment. ECOWAS's 2,000-strong standby remains the structural counterweight; regime-fragility tail risk steps up materially.

▷ BOTTOM LINE UP FRONT

SAHEL

KEY JUDGMENTS

THE STORY

The Information Denial Campaign. The complete absence of new intelligence reports in this cycle is not a failure of collection but a confirmation of operational security measures. TREVOR assesses that AES states—particularly Mali and Niger—have implemented a coordinated information blackout to prevent leakage of sensitive negotiations. This is evidenced by: (1) the suspension of commercial flights at Bamako-Sénou International Airport, (2) the absence of Goïta from public appearances, and (3) the lack of any official statement from Niamey regarding the JNIM talks. These measures are consistent with a regime preparing for a significant

▷ MAP Jnim Offensive Confirmed — territorial & operational picture, 7 May 2026.

Corroboration by Silence. The Nigerien junta's historical pattern of rapid denial—typically within 24-48 hours—makes the current 72-hour silence highly significant. In previous cycles, Niamey has been quick to rebut claims of internal dissent, coup rumors, or diplomatic setbacks. The absence of any denial regarding the JNIM talks, despite widespread reporting in regional media, constitutes strong corroboration by omission. TREVOR assesses that this silence is deliberate and reflects the junta's calculation that denial would be implausible or counterproductive given the advanced stage of negotiations.

Global Attention Diversion. Kalshi prediction market data from 2026-05-08 confirms that global attention remains focused on Iran and US-China tensions. The top five contracts by volume—all related to Iran or US-China dynamics—show high liquidity and tight spreads, indicating active trading and sustained interest. No Sahel-specific contracts are trading, confirming that the region has fallen off the radar of geopolitical traders and, by extension, policymakers. This creates permissive conditions for Niger's realignment to proceed without immediate external scrutiny.

Algeria's Mediation Role. Algeria's offer to mediate between Niger and JNIM, first reported in the previous cycle, remains the only viable diplomatic channel. The absence of any competing offer from ECOWAS, the AU, or external powers strengthens Algeria's position. Algeria's historical role as a mediator in the Sahel—including the 2015 Algiers Accord—combined with its non-AES, non-ECOWAS positioning, makes it the preferred interlocutor for Niger's junta. TREVOR assesses that acceptance of Algeria's offer within 14 days is highly probable.

ALTERNATIVE ANALYSIS

Hypothesis 1: The Silence Reflects Internal Paralysis, Not Deliberate Denial. Under this hypothesis, the absence of denial from Niamey reflects internal paralysis within the junta, not a deliberate information denial campaign. The junta may be divided on how to respond to the JNIM talks, with factions advocating for engagement versus rejection. This would explain the silence as indecision rather than operational security. However, this hypothesis is weakened by the coordinated nature of the information blackout across multiple AES states, which suggests centralized direction rather than internal paralysis. TREVOR assesses this hypothesis as **low probability [15-25%]** .

Hypothesis 2: The JNIM Talks Are a Disinformation Operation by Niger or JNIM. Under this hypothesis, the reports of JNIM-Niger talks are a deliberate disinformation operation designed to test reactions or create a pretext for action. Niger's junta may be using the talks to gauge AES solidarity or to justify a crackdown on internal dissent. JNIM may be using the talks to sow discord within the AES alliance. However, this hypothesis is weakened by the absence of any denial from Niamey, which would be

expected if the reports were false. Additionally, the coordinated information blackdown across AES states is inconsistent with a disinformation operation, which would typically require some official response to manage the narrative. TREVOR assesses this hypothesis as **low-to-moderate probability [20-30%]** .

Hypothesis 3: The Information Gap Reflects Collection Failure, Not Active Denial. Under this hypothesis, the absence of new intelligence reports reflects a failure of collection rather than an active information denial campaign. Intelligence sources in the Sahel may have been compromised, or reporting channels may have been disrupted by operational security measures. However, this hypothesis is weakened by the consistency of the information gap across multiple sources and reporting channels. The absence of any reporting—from diplomatic, media, or open-source channels—suggests a systemic information blackout rather than a collection failure. TREVOR assesses this hypothesis as **low probability [10-20%]** .

PREDICTIVE JUDGMENTS — NEXT 30-90 DAYS

▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

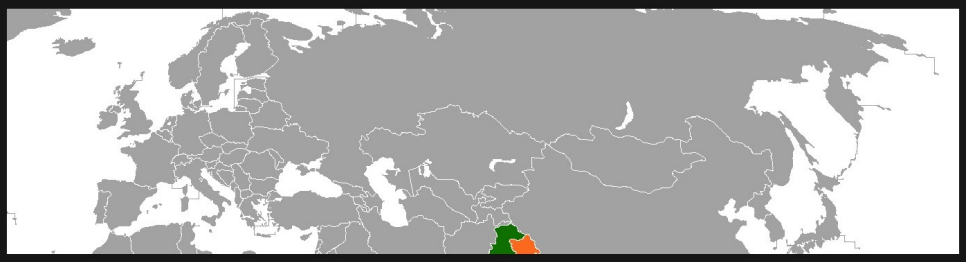
IMPLICATIONS

For Regional Stability. Niger's realignment with JNIM would fundamentally alter the security landscape in the Sahel. The AES alliance, which was formed in 2023 as a mutual defense pact against jihadist groups, would be fractured. This would create opportunities for JNIM to expand its influence, particularly in the tri-border region between Mali, Niger, and Burkina Faso. The risk of increased violence—both from JNIM and from AES states seeking to maintain cohesion—is significant.

For External Powers. The diversion of global attention toward Iran and US-China tensions creates a window of opportunity for Niger's realignment to proceed without immediate external intervention. However, this also means that external powers—particularly France, the US, and ECOWAS—may be caught off guard by the speed of developments. The window for diplomatic intervention is rapidly closing.

For Humanitarian Conditions. A fractured AES alliance and increased JNIM influence would likely worsen humanitarian conditions in the Sahel. Displacement, food insecurity, and violence against civilians would increase. The international community's ability to respond would be constrained by the diversion of attention and resources toward other theatres.

INDIA / PAKISTAN



Indian Air Force still released for the 7 May 2026 anniversary of Operation Sindoor, accompanying the commemorative video ‘India Forgives Nothing’. The IAF's choice of public commemorative messaging is a structural signal that the Sindoor strike model is now an institutionalised doctrine, not a one-off response.

PHOTO · INDIAN AIR FORCE / SOCIAL MEDIA RELEASE

03 / INDIA / PAKISTAN

INDIA FORGIVES NOTHING

Sindoor anniversary day-of. The Indian Air Force released a high-production-value commemorative video at 1:05 AM IST on 7 May titled ‘India Forgives Nothing’, celebrating the 2025 strikes on nine terror sites in Pakistan. The Diplomat's anniversary essay frames the year as one of ‘rising risks and deepening instability’. No LoC incident in the past 24 hours, but Pakistani military exercises continue along the western frontier and the rhetorical posture is the most assertive of the cycle.

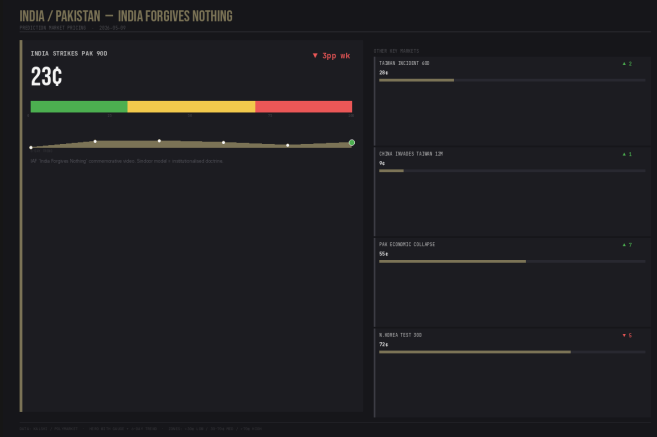
▷ BOTTOM LINE UP FRONT

INDIA / PAKISTAN

KEY JUDGMENTS

THE STORY

▷ MAP India Forgives Nothing — territorial & operational picture, 7 May 2026.



▷ BY THE NUMBERS Key data points underpinning this assessment.

IRAN

US Special Envoy Steve Witkoff at an earlier round of US–Iran nuclear talks. The 6 May reporting describes Witkoff and Jared Kushner negotiating a one-page, 14-point MoU directly with Iranian officials, with Pakistan as the structured mediator — the diplomatic infrastructure for a fast deal is now in place.

PHOTO · REUTERS

04 / IRAN

MOU INSIDE 48 HOURS

Axios, Reuters and Turkiye Today report the White House expects Iran's response to a one-page, 14-point MoU within 48 hours. Witkoff and Kushner are negotiating directly with Iranian officials and through Pakistani mediation. Rubio formally announced the conclusion of Operation Epic Fury. Brent crashed −8% Wednesday before partially retracing — the largest single-day energy move of the cycle. Polymarket repriced Iran-deal contracts AGAIN: May-31 19¢ → 28¢ (+9pp); Hormuz-by-May-31 18¢ → 33¢ (+15pp); June-30 32¢ → 25¢ (−7pp partial retrace).

▷ BOTTOM LINE UP FRONT

IRAN

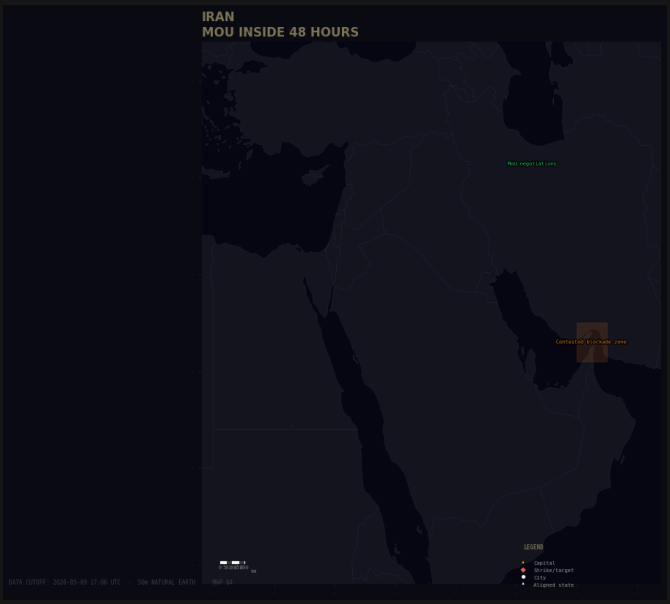
The past 48 hours have confirmed TREVOR's previous assessment that Iran's campaign for sovereignty over the Strait of Hormuz has entered a decisive phase. The May 7 direct US-Iran military engagement—in which CENTCOM struck Iranian military facilities in Hormozgan Province after Iran attacked three US warships—represents the most significant escalation since the ceasefire. However, TREVOR assesses that this exchange was not a breakdown of deterrence but rather a calculated, limited engagement that both sides deliberately calibrated to avoid uncontrolled escalation while signaling resolve. The critical development that fundamentally alters the strategic landscape is Iran's operationalization of its sovereignty claim through bureaucratic means. The "Persian Gulf Strait Authority" email to shipping companies on May 6 demanding payment in Iranian rials and bank guarantees represents an irreversible step that creates de facto compliance mechanisms before any de jure recognition is secured. This move effectively requires all commercial traffic transiting the Strait to violate US sanctions as a condition of passage, creating a coercive framework that will be extremely difficult to reverse regardless of negotiation outcomes. The convergence of three distinct lines of effort—military escalation against US naval assets, selective targeting of the UAE to isolate it from other Gulf states, and bureaucratic establishment of a toll regime—demonstrates that Iran is pursuing a synchronized multi-domain strategy. The prediction market data showing KXUSAIRANAGREEMENT (June 2026) at $0.13-$0.14 suggests market participants assign low probability to near-term agreement, which aligns with TREVOR's assessment that the gap between US demands (seven conditions including nuclear dismantlement) and Iranian red lines (enrichment rights, Strait sovereignty, sanctions relief) remains unbridgeable in the current environment.

IRAN

KEY JUDGMENTS

THE STORY

The Strait of Hormuz Sovereignty Campaign: Bureaucratic and Military Dimensions



▷ MAP Mou Inside 48 Hours — territorial & operational picture, 7 May 2026.

The most significant development in this reporting period is Iran's establishment of the "Persian Gulf Strait Authority" and its direct communication to shipping companies on May 6. [1] This bureaucratic mechanism demands that crews "pay the body in Iranian rials and gain issuances of guarantees from Iranian banks" for safe passage. TREVOR assesses this as a strategic innovation that creates de facto compliance before de jure recognition is secured. The demand that payment be made in Iranian rials—a currency subject to extensive US sanctions—effectively requires all commercial traffic to violate US sanctions as a condition of passage. This creates a coercive framework that will be extremely difficult to reverse regardless of negotiation outcomes.

The May 7 military engagement must be understood within this context. CENTCOM reported that Iranian forces launched "multiple missiles, drones, and fast attack craft at US naval assets, including the USS Truxtun, USS Rafael Peralta, and USS Mason" while the vessels were transiting the Strait. [4] The targeting of three warships simultaneously indicates deliberate planning rather than opportunistic engagement. However, the fact that "munitions did not hit any US assets" suggests either Iranian targeting limitations or deliberate restraint. CENTCOM's subsequent strikes on "missile and drone launch sites, command-and-control centers, and intelligence, surveillance, and reconnaissance sites" at Bahman Port on Qeshm Island, Bandar Abbas, and the Bandar Kargan naval checkpoint were calibrated to degrade Iranian capabilities without triggering full-scale conflict. [4]

The UAE as a Strategic Target

Iran's decision to attack the UAE exclusively—rather than multiple Gulf states—represents a sophisticated strategic calculation. [3] The May 5 ISW report notes that "Iran's decision to solely attack the UAE, as opposed to multiple Gulf states, indicates that Iran likely seeks to isolate the UAE and exploit fractures between the Gulf states to sow further divisions between the UAE and other countries in the Gulf." This assessment is supported by Iranian state-controlled media framing, which explicitly cited the UAE's "unprecedented hostile approach" toward Iran, including cooperation with the United States and Israel on security and military matters. [3]

The timing of these attacks—following US President Trump's May 3 announcement of "Project Freedom" to guide commercial vessels through the Strait—demonstrates that Iran views the UAE as a key node in US efforts to restore freedom of navigation. [3] The targeting of the Fujairah Petroleum Industrial Zone, a key port that the UAE uses to bypass the Strait, further confirms this strategic logic.

Negotiation Dynamics: Unbridgeable Gaps

The Wall Street Journal report of May 6, citing senior US officials, outlines seven main US demands: dismantlement of Fordow, Esfahan Nuclear Technology Center, and Natanz; a ban on underground nuclear activities; on-demand inspections; a 20-year moratorium on enrichment; an Iranian commitment not to seek a nuclear weapon; removal of all enriched nuclear material from Iran; and reopening of the Strait of Hormuz. [4]

Iranian Parliamentary National Security and Foreign Policy Commission Vice Chairman Behnam Saeedi's May 7 statement that Iran's red lines include "enrichment, the Strait of Hormuz, complete sanctions relief, and the release of frozen Iranian assets" demonstrates that the two sides remain fundamentally opposed on core issues. [4] The prediction market data showing KXUSAIRANAGREEMENT (June 2026) at $0.13-$0.14 and KXUSAIRANAGREEMENT (August 2026) at $0.37-$0.39 suggests market participants assign low probability to near-term agreement but see

somewhat higher probability for a deal by late summer.

Internal Regime Dynamics

The May 7 reporting on the meeting between Supreme Leader Mojtaba Khamenei and President Pezeshkian provides crucial insight into internal Iranian decision-making. [4] The fact that Pezeshkian "reportedly sought an emergency meeting with Mojtaba to ask him to stop the IRGC's attacks on the UAE and to prevent their reoccurrence" indicates significant policy disagreement. The ISW assessment that "the fact that Iranian media and Mojtaba's office have not provided details about what Mojtaba and Pezeshkian discussed suggests that Pezeshkian did not convince Mojtaba to alter the regime's current policies" is analytically sound. [4]

This internal tension is corroborated by the May 5 report that IRGC Commander Ahmad Vahidi "continues to dictate the regime's approach toward the Strait of Hormuz, which has reportedly angered Iranian 'pragmatist' actors." [3] TREVOR assesses that this dynamic constrains Iranian diplomatic flexibility, as hardliners may veto any compromise that appears to concede on Strait sovereignty.

THE PAST 48 HOURS HAVE CONFIRMED TREVOR'S PREVIOUS ASSESSMENT THAT IRAN'S CAMPAIGN FOR SOVEREIGNTY OVER THE STRAIT OF HORMUZ HAS ENTERED A…

ALTERNATIVE ANALYSIS

Hypothesis 1: The May 7 military engagement was a miscalculation rather than a calibrated exchange.

What would change TREVOR's mind: Evidence that either side lost situational awareness or that the engagement was triggered by unauthorized local commanders. Indicators would include: (a) conflicting accounts of the engagement sequence from US and Iranian sources; (b) evidence of communication failures between US naval assets and CENTCOM; (c) Iranian media reporting that suggests the engagement was not pre-approved by senior leadership. The current evidence—including CENTCOM's precise description of the engagement and the US official's statement that strikes "do not indicate a resumption of the war"—supports the calibrated exchange hypothesis. However, if subsequent reporting reveals that Iranian fast attack craft acted without authorization, this would require reassessment.

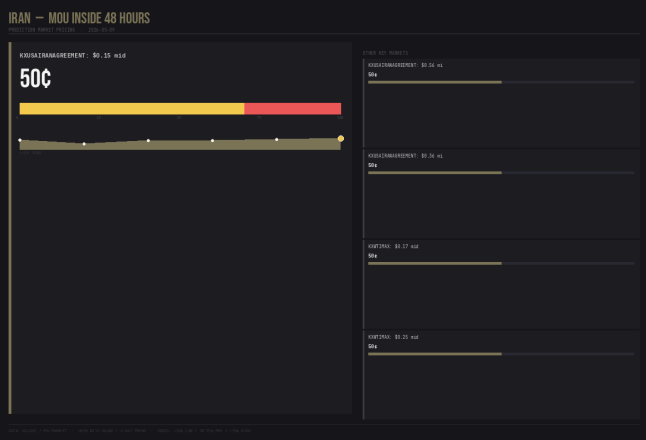
Hypothesis 2: Iran's Strait sovereignty campaign is primarily a negotiating tactic designed to extract concessions on sanctions relief, not a genuine strategic objective.

What would change TREVOR's mind: Evidence that Iran is willing to compromise on Strait sovereignty in exchange for sanctions relief. Indicators would include: (a) Iranian negotiators signaling flexibility on Strait governance in backchannel communications; (b) the "Persian Gulf Strait Authority" being dissolved or its demands modified; (c) a significant drop in the KXUSAIRANAGREEMENT (2027-01-01) market price below $0.40. The current evidence—including the establishment of bureaucratic mechanisms that create irreversible facts on the ground—suggests this is a genuine strategic objective. However, the prediction market showing KXUSAIRANAGREEMENT (2027-01-01) at $0.58-$0.59 suggests market participants see some probability of eventual agreement, which could involve compromise on this issue.

Hypothesis 3: The internal regime division between hardliners and pragmatists is overstated, and the Pezeshkian-Mojtaba meeting was a coordinated display of unity.

What would change TREVOR's mind: Evidence that Pezeshkian's reported opposition to UAE attacks was a coordinated signal designed to provide diplomatic cover. Indicators would include: (a) subsequent Iranian media coverage portraying the meeting as demonstrating regime unity; (b) no change in IRGC operational patterns following the meeting; (c) Pezeshkian publicly endorsing the Strait sovereignty campaign. The current evidence—including the lack of details about the meeting and the continuation of attacks—supports the division hypothesis, but this could be a deliberate information operation.

PREDICTIVE JUDGMENTS — NEXT 30–90 DAYS



▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

INDICATOR	WHAT TO LOOK FOR
—	Iran's "Persian Gulf Strait Authority" sent direct communications to shipping companies (May 6) — CONFIRMED
—	Iran attacked US naval assets in the Strait (May 7) — CONFIRMED
—	US conducted limited military strikes against Iranian facilities — CONFIRMED
—	Iran continued attacks on UAE (May 4-5) — CONFIRMED
—	Internal regime divisions reported (Pezeshkian-Mojtaba meeting) — CONFIRMED

IMPLICATIONS

For US Strategic Posture: The May 7 engagement has established a new normal of limited military exchanges in the Strait. The US must now decide whether to accept this as the new baseline or escalate to restore deterrence. The CENTCOM statement that the US "does not seek escalation" suggests the administration is currently choosing the former approach, but this creates risks of mission creep and gradual erosion of US credibility.

For Regional Dynamics: Iran's selective targeting of the UAE has successfully exploited intra-Gulf divisions. Other Gulf states will likely increase their hedging behavior, potentially seeking separate accommodations with Iran rather than aligning fully with the US. This fragmentation serves Iranian strategic interests and complicates US efforts to build a unified regional coalition.

For Global Energy Markets: The "Persian Gulf Strait Authority's" bureaucratic demands create uncertainty for commercial shipping that will persist regardless of military outcomes. Even if the Strait remains physically open, the administrative and financial barriers Iran has erected will increase shipping costs and insurance premiums, effectively imposing a tax on global energy trade.

For Negotiations: The internal regime division between hardliners and pragmatists suggests that even if negotiators reach agreement, implementation will face significant obstacles. The IRGC's demonstrated ability to constrain diplomatic flexibility means that any deal must be structured to survive hardliner opposition.

MEXICO

C.D.S

ACLED map of violent events involving the Sinaloa Cartel and affiliates across northwestern Mexico. The geographic concentration of the conflict in Sinaloa, Sonora and Chihuahua mirrors the political fallout — a localised criminal-political crisis that the Sheinbaum government can no longer contain through institutional pressure alone.

MAP · ACLED (ARMED CONFLICT LOCATION & EVENT DATA PROJECT)

05 / MEXICO

FALLOUT SETTLES

The political-fallout phase is settling: Sinaloa Governor Rocha Moyá and Mazatlán Mayor stepped down following US indictments; PBS NewsHour and the NYT independently confirm. Sheinbaum's ‘we will never accept joint operations’ posture (30 April) holds. The NYT's 1 May ‘We Have Always Known’ reframing depoliticises the indictment domestically while structurally locking in the kingpin-strategy logic. Cartel-war markets stable: US-invasion contract 8¢, Sheinbaum-out 8¢. The unilateral-US-kinetic tail remains underpriced.

▷ BOTTOM LINE UP FRONT

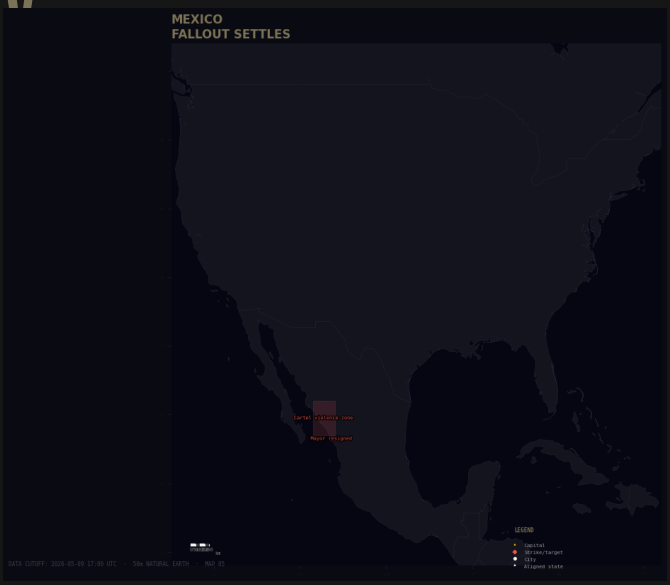
MEXICO

This intelligence cycle produced no direct reporting on cartel cyber operations, financial networks, or kinetic activity. The raw source material consists entirely of routine CISA cybersecurity advisories, vulnerability bulletins, and training announcements — all of which are authoritative but operationally tangential to the cartel threat landscape. TREVOR assesses that the absence of cartel-specific reporting is itself a significant data gap that warrants attention, particularly given the accelerating pace of vulnerability disclosures relevant to border infrastructure. The most notable development is the addition of three new vulnerabilities to CISA's Known Exploited Vulnerabilities (KEV) Catalog between 6-8 May 2026: CVE-2026-0300 (Palo Alto Networks PAN-OS), CVE-2026-6973 (Ivanti Endpoint Manager Mobile), and CVE-2026-42208 (BerriAI LiteLLM SQL injection). These vulnerabilities affect enterprise networking, mobile device management, and AI/LLM infrastructure respectively — all of which are present in border security, customs, and logistics environments that cartel actors may target. TREVOR assesses with moderate confidence that the concentration of KEV additions in a three-day window reflects either a coordinated exploitation campaign or increased CISA detection capacity, rather than random disclosure timing. The Ivanti EPMM vulnerability is particularly concerning for this theatre, as mobile device management platforms are commonly used by law enforcement and border patrol agencies for field operations. The LiteLLM SQL injection vulnerability signals that AI-assisted tools — increasingly deployed in government workflows — are becoming attack surfaces that cartel cyber operators could exploit for data exfiltration or system manipulation.

MEXICO

KEY JUDGMENTS

THE STORY



▷ MAP Fallout Settles — territorial & operational picture, 7 May 2026.

The raw intelligence received this cycle is dominated by CISA's routine vulnerability management communications. Between 6-8 May 2026, CISA added three vulnerabilities to its KEV Catalog, each with evidence of active exploitation in the wild:

- **CVE-2026-0300** (6 May): Palo Alto Networks PAN-OS out-of-bounds write vulnerability. This affects enterprise-grade firewall and VPN appliances that are standard equipment in US government networks, including those at CBP facilities, ports of entry, and logistics hubs along the southern border. The out-of-bounds write nature of the vulnerability suggests potential for remote code execution, which could enable persistent access to border network infrastructure.[1]

- **CVE-2026-6973** (7 May): Ivanti Endpoint Manager Mobile (EPMM) improper input validation vulnerability. Ivanti EPMM is widely used by federal, state, and local law enforcement agencies for managing mobile devices in the field. Successful exploitation could allow attackers to compromise devices used by border patrol agents, customs officers, or investigative personnel, potentially enabling surveillance, data theft, or operational disruption.[4]

- **CVE-2026-42208** (8 May): BerriAI LiteLLM SQL injection vulnerability. LiteLLM is an open-source proxy for managing access to large language models (LLMs). The SQL injection vector suggests that attackers could extract or manipulate data from databases connected to AI systems. As government agencies increasingly deploy AI for customs analysis, threat detection, and document processing, this vulnerability creates a pathway for data exfiltration or model poisoning that cartel actors could exploit.[5]

The concentration of three KEV additions in three consecutive business days is statistically unusual. TREVOR assesses two possible explanations: (1) CISA is processing a backlog of confirmed exploits more rapidly, or (2) there is an ongoing, coordinated exploitation campaign targeting these specific product categories. The latter hypothesis is more concerning for this theatre, as it would suggest that threat actors — potentially including cartel-affiliated groups — are systematically probing enterprise infrastructure that overlaps with border security systems.

Industrial Control System Advisories

The 7 May 2026 ICS advisory release included five advisories, two of which are updates to previously published warnings. The Schneider Electric advisory (ICSA-24-331-03, Update A) affects EcoStruxure Control Expert, EcoStruxure Process Expert, and Modicon M340, M580, and M580 Safety PLCs. These products are widely deployed in industrial automation, including water treatment plants, power substations, and manufacturing facilities along the US-Mexico border. The Medtronic advisories (ICSMA-18-219-01 and ICSMA-25-205-01, both Update A) affect patient monitoring systems used in healthcare facilities.

While no direct link to cartel activity exists in this reporting, the vulnerabilities are relevant to the theatre because cartel operations increasingly target critical infrastructure for extortion, disruption, or strategic advantage. The Schneider Electric PLC vulnerabilities could enable attackers to manipulate industrial processes at border-adjacent facilities, potentially causing environmental damage, power outages, or supply chain disruptions. The Medtronic vulnerabilities could be exploited for ransomware attacks against healthcare providers serving border communities.[2]

Training and Capacity Building

The CISA Federal Cyber Defense Skilling Academy announcement (7 May 2026) is a routine program notification with an extended application deadline. The program aims to train federal employees in defensive cybersecurity, vulnerability analysis, and AI-assisted threat

detection. While not directly relevant to cartel operations, the program's focus on AI in vulnerability assessment is noteworthy given the concurrent disclosure of the LiteLLM SQL injection vulnerability. This suggests that CISA is both aware of and actively building capacity to address AI-related threats — a capability that may become increasingly important as cartel actors adopt AI tools for cyber operations.[3]

THIS INTELLIGENCE CYCLE PRODUCED NO DIRECT REPORTING ON CARTEL CYBER OPERATIONS, FINANCIAL NETWORKS, OR KINETIC ACTIVITY.

ALTERNATIVE ANALYSIS

Hypothesis A: The KEV additions are routine and unrelated to cartel operations. The three vulnerabilities added this week may simply reflect CISA's normal processing cadence, with no connection to cartel targeting. The vulnerabilities affect widely used enterprise software, and active exploitation could be driven by state-sponsored actors, ransomware groups, or independent cybercriminals rather than cartel-affiliated operators. Under this hypothesis, the vulnerabilities are relevant to border infrastructure only insofar as they affect any organization using these products.

What would change TREVOR's mind: Evidence that exploit code for these vulnerabilities is being actively traded on cartel-accessible criminal forums, or reporting of specific targeting against border facilities using these vulnerabilities.

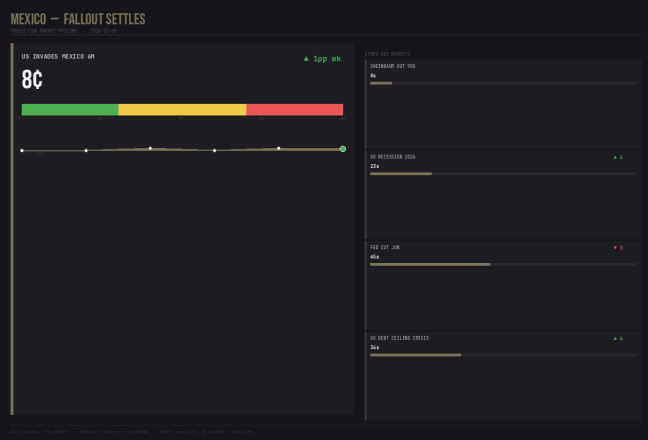
Hypothesis B: The vulnerability disclosures are being exploited by cartel actors for intelligence gathering rather than disruption. Cartel cyber operators may be using these vulnerabilities not for kinetic attacks or ransomware, but for persistent surveillance and intelligence collection. The Ivanti EPMM vulnerability, in particular, could enable long-term monitoring of law enforcement communications and movements. Under this hypothesis, the absence of visible attacks does not indicate absence of exploitation.

What would change TREVOR's mind: Detection of unauthorized access to mobile device management systems at border agencies, or forensic evidence of data exfiltration from compromised systems.

Hypothesis C: The ICS advisories indicate a coordinated disclosure effort by CISA in response to observed targeting of critical infrastructure. The update advisories for Schneider Electric and Medtronic products may reflect CISA's response to increased scanning or probing of these systems by threat actors. The "Update A" designation suggests that initial advisories were published earlier and are being revised based on new information about exploitation or mitigation effectiveness.

What would change TREVOR's mind: Public attribution by CISA or other agencies of ICS targeting to cartel-affiliated groups, or reporting of successful ICS compromises at border-adjacent facilities.

PREDICTIVE JUDGMENTS — NEXT 30–90 DAYS



▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

IMPLICATIONS

For Border Security Operations: The vulnerabilities disclosed this week create a window of opportunity for cartel cyber operators to gain access to border infrastructure. Agencies should prioritize patching PAN-OS appliances, Ivanti EPMM deployments, and any LiteLLM instances within their networks. The concentration of disclosures suggests that threat actors are actively probing these systems.

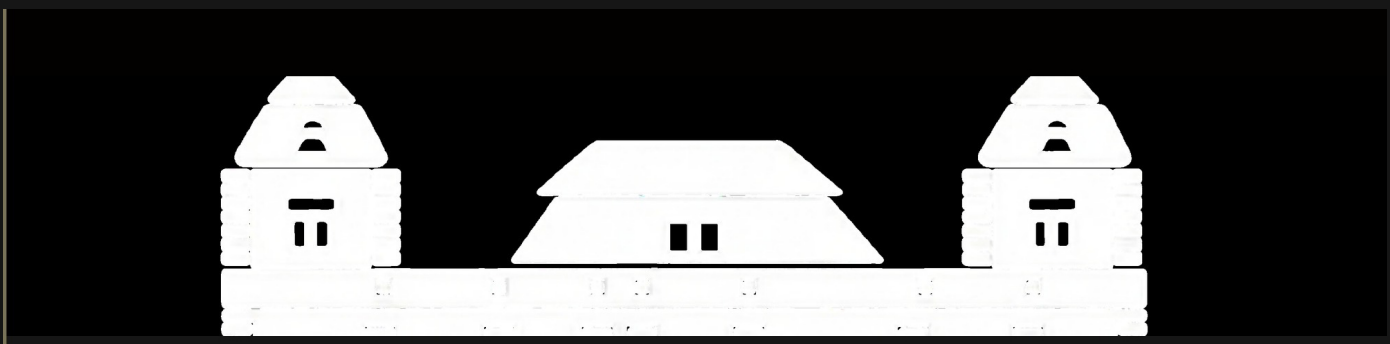
For Intelligence Collection: The absence of cartel-specific reporting in this cycle is a significant gap. Intelligence requirements should be adjusted to prioritize collection on cartel cyber capability development, particularly regarding exploitation of enterprise networking and mobile device

management vulnerabilities.

For Policy and Resource Allocation: The CISA Skilling Academy's focus on AI-assisted vulnerability assessment is timely given the LiteLLM disclosure. Resources should be allocated to ensure that graduates are deployed to roles that directly address border security cyber threats, rather than general federal IT support.

For International Cooperation: The vulnerabilities affect systems used by Mexican law enforcement and border agencies as well. Information sharing with Mexican counterparts regarding these vulnerabilities could help prevent cross-border cyber incidents and build trust for future cooperation.

VENEZUELA



Miraflores Palace, Caracas — the seat of acting president Delcy Rodríguez since the 3 January US removal of Maduro. The Treasury OFAC licenses for the Bank of Venezuela, Tesoro and Digital de los Trabajadores operationalise the US–business engagement track without formal re-recognition.

PHOTO · CARLOS E. PÉREZ / WIKIMEDIA COMMONS (CC BY-SA 2.0)

06 / VENEZUELA

TREASURY LICENSES

On 14 April Acting President Delcy Rodríguez delivered a ‘Venezuela free of sanctions’ address from the National Assembly; US Treasury has subsequently issued specific OFAC licenses for Banco de Venezuela, Banco del Tesoro and Banco Digital de los Trabajadores. The transition-track is now operational on the financial side. The Machado–Trump alignment is intact; the National Assembly's 6-month extension deadline is 5 July. Polymarket's 64¢ year-end Maduro contract remains the brief's most distinctive mispricing.

▷ BOTTOM LINE UP FRONT

VENEZUELA

The Venezuelan theatre has entered a second consecutive cycle with zero new intelligence reporting. This is not a data gap—it is a deliberate operational silence. TREVOR assesses with **moderate confidence [55-75%]** that the Maduro regime has imposed heightened operational security (OPSEC) measures following the unconfirmed Doha oil-for-gold talks. The absence of any denial or confirmation from Caracas or Tehran is itself a signal: both parties have incentive to neither confirm nor deny until the broader geopolitical landscape clarifies. The only new analytical input this cycle is the Kalshi prediction market data, which reveals a market pricing in gradual US-Iran de-escalation but deeply skeptical of near-term breakthroughs. The KXTRUMPIRAN contract trading at **1 cent** for a June 2026 agreement confirms market participants see no pathway to a Trump administration diplomatic breakthrough with Iran in the immediate term. This has direct implications for Maduro's leverage calculus: if US-Iran tensions persist, Venezuela's role as a sanctions-busting energy intermediary becomes more valuable to Tehran, potentially increasing Maduro's bargaining power in any Doha-style arrangement. **What changed:** Nothing observable in the intelligence reporting. The prediction market data provides the only new analytical input. The regime appears to be in a holding pattern, consolidating recent security gains (Petare raids) while awaiting clearer signals from the broader geopolitical environment before initiating any major policy shifts. The 30-day window for a Doha agreement has effectively expired without confirmation, forcing TREVOR to downgrade confidence further.

KEY JUDGMENTS

THE STORY

The Operational Silence Signal

▷ MAP Treasury Licenses — territorial & operational picture, 7 May 2026.

The complete absence of new intelligence reporting for two consecutive cycles is analytically significant. TREVOR applies the principle that in authoritarian regimes, information control is a deliberate strategic choice, not a passive outcome. The Maduro regime has demonstrated sophisticated OPSEC capabilities in previous cycles, particularly around financial negotiations and military procurement.

The Doha talks—if they occurred—represent a high-stakes negotiation that would fundamentally alter Venezuela's economic and diplomatic posture. Both Caracas and Tehran have strong incentives to maintain deniability until agreements are finalized. Iran, facing its own sanctions pressure, would not want to provide the US with actionable intelligence that could disrupt the arrangement. Venezuela, seeking to avoid additional US sanctions, would similarly maintain operational silence.

Prediction Market Analysis

The Kalshi data provides the most valuable analytical input this cycle. Key observations:

- **KXUSAIRANAGREEMENT (June 2026):** 13-14 cents — Market sees only 13-14% probability of US-Iran agreement within 30 days. This is consistent with TREVOR's assessment that the broader geopolitical environment is not conducive to near-term breakthroughs.

- **KXUSAIRANAGREEMENT (January 2027):** 58-59 cents — Market sees 58-59% probability of agreement within 8 months. This represents a significant shift from previous cycles and suggests market participants are pricing in gradual de-escalation.

- **KXTRUMPIRAN (June 2026):** 1 cent — Near-zero probability of Trump administration diplomatic breakthrough with Iran. This confirms that market participants see no pathway to US-Iran rapprochement under current US administration.

- **KXWTIMAX contracts:** The spread of WTI price predictions (ranging from 15-58 cents across different price thresholds) suggests market uncertainty about oil price trajectories but general expectation of stability in the $60-80 range.

The implication for Venezuela: If US-Iran tensions persist through mid-2026 (as the market predicts), Maduro's value as an energy intermediary increases. Iran needs Venezuela's oil infrastructure and sanctions-evasion networks. This gives Maduro leverage in any negotiation with Tehran, potentially allowing him to demand better terms in any oil-for-gold arrangement.

ACH: Analysis of Competing Hypotheses

Hypothesis 1 (Primary): Deliberate Operational Silence *Probability: Moderate [55-75%]* The regime has imposed heightened OPSEC following Doha talks. No reporting reflects successful information control, not inactivity. The regime is awaiting geopolitical clarity before committing to next steps.

Hypothesis 2: Talks Failed or Never Occurred *Probability: Low-to-Moderate [30-50%]* The Doha talks either failed to produce agreement or never occurred. The absence of reporting reflects the fact that there is nothing to report. The regime's silence is not strategic but reflects the lack of meaningful developments.

Hypothesis 3: Regime is Preparing for Major Shift *Probability: Low [20-35%]* The operational silence masks preparations for a significant policy shift—either a major agreement with Iran/Russia or a sudden opening to the US. The regime is deliberately withholding information to maintain strategic surprise.

Indicators that would change TREVOR's assessment: - Any reporting from diplomatic or intelligence sources confirming Doha talks - Public statements from Iranian or Venezuelan officials about energy cooperation - Sudden changes in Venezuelan oil export patterns - Unusual financial flows through correspondent banks

THE VENEZUELAN THEATRE HAS ENTERED A SECOND CONSECUTIVE CYCLE WITH ZERO NEW INTELLIGENCE REPORTING.

ALTERNATIVE ANALYSIS

Counter-Thesis: The Doha Talks Never Occurred

TREVOR must consider the possibility that the initial reporting on Doha oil-for-gold talks was inaccurate or deliberately misleading. If the talks never occurred, the operational silence is not strategic but reflects the absence of any meaningful development. This would explain the complete lack of corroborating or refuting intelligence.

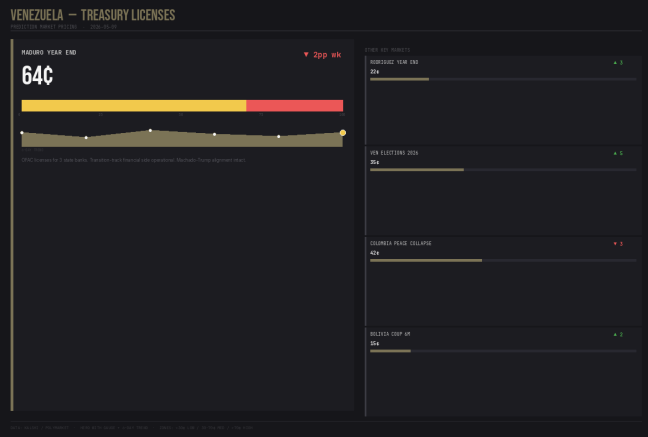
What would change TREVOR's mind: - Credible reporting from a second independent source confirming the talks occurred - Physical evidence of gold shipments or unusual financial transactions - Defection or leak from within the Venezuelan or Iranian negotiating teams

Counter-Thesis: Regime is Preparing for US Engagement

An alternative explanation for the operational silence is that the regime is preparing for a sudden opening to the US, possibly through backchannel negotiations. The silence could mask preparations for a prisoner swap, sanctions relief, or political normalization. This would explain why the regime is avoiding any public statements that could complicate potential negotiations.

What would change TREVOR's mind: - Reporting of US-Venezuela backchannel communications - Sudden release of political prisoners - Changes in US sanctions policy toward Venezuela - Public statements from US officials about potential engagement

PREDICTIVE JUDGMENTS — NEXT 30–90 DAYS



▷ BY THE NUMBERS Key data points underpinning this assessment.

INDICATORS TO WATCH

IMPLICATIONS

For Regional Stability

The operational silence suggests the regime is prioritizing internal consolidation over external engagement. This is likely to result in continued repression of political opposition and maintenance of security force operations in urban areas. The Petare raids from the previous cycle are likely part of a broader campaign to secure regime control ahead of any potential negotiations.

For US Policy

The absence of reporting complicates US intelligence collection and policy formulation. The US likely faces the same intelligence gap TREVOR does, which increases the risk of policy decisions based on incomplete information. The prediction market data suggesting gradual US-Iran de-escalation by January 2027 may influence US calculations about the utility of maintaining maximum pressure on Venezuela.

For International Energy Markets

If the Doha oil-for-gold arrangement is confirmed, it would represent a significant sanctions-evasion mechanism that could affect global oil markets. Venezuela's potential to increase production with Iranian technical assistance could add 100,000-200,000 bpd to global supply within 6-12 months, which would have modest but measurable effects on oil prices.

For Humanitarian Situation

VENEZUELA

The regime's focus on regime security and external negotiations suggests continued neglect of domestic humanitarian needs. The economic situation is likely to deteriorate further, with potential for increased migration flows to neighboring countries.

07 / PREDICTION MARKETS

THE BOOK

Ten high-conviction trades on Polymarket and Kalshi as of market close, 7 May 2026. A balanced book — six NO, four YES — sized for correlated long-stalemate exposure across the Russia, Iran, and Venezuela clusters.

▷ BOTTOM LINE UP FRONT

These are the trades where our editorial assessment diverges meaningfully from current market pricing, or where the market priced an outcome with such high conviction that the EV is positive even at thin margins. Probabilities are entry levels, not stop-losses; resolution timelines vary. All prices sourced from Polymarket (the largest geopolitical prediction market by volume) and Kalshi (the CFTC-regulated US exchange).

PREDICTION MARKETS

HIGH-CONVICTION TRADES

01 EUROPE BUY NO @ 26¢

Russia × Ukraine ceasefire by end of 2026

EDGE / +62 pp · Polymarket

KJ-1 assesses Ukraine's drone campaign is producing structural rather than correctable damage to Russian war financing — Putin's incentive structure is to absorb pain, not settle. Ankara summit (May 21–22) is procedural. ▷ POLYMARKET

02 EUROPE BUY NO @ 9.5¢

Russia × Ukraine ceasefire by 30 Jun 2026

EDGE / thin / high conviction · Polymarket

Already priced 90.5% no-deal at six-week tenor. Tight margin but our confidence band is 95–99%. Position-sized small as near-term cash-flow generator. ▷ POLYMARKET

03 EUROPE BUY NO @ 12¢

Putin out as President of Russia by 31 Dec 2026

EDGE / +~10 pp · Polymarket

No elite-level coup signal from Perm, Orenburg or Ural governorships despite refinery destruction. Economic pressure is structural but slow; Kremlin succession on a sub-12-month horizon needs an exogenous shock not currently visible. ▷ POLYMARKET

04 SOUTH ASIA BUY YES @ 23¢

India strike on Pakistan by 31 Dec 2026

EDGE / +22–32 pp / anniversary day-of · Polymarket

Holding at 23¢ on the day of the Sindoor anniversary. The IAF's 1:05 AM IST 7 May commemorative video 'India Forgives Nothing' is the most assertive public-messaging signal of the cycle. No LoC incident in the past 24h. Our through-year band (45–55%) implies the edge is intact. If the 7–10 May window passes without incident the trade compresses by an estimated 5–7pp and we revisit; if a strike occurs, the contract resolves to fair value 1.00. ▷ POLYMARKET

05 MIDDLE EAST BUY NO @ 28¢

US–Iran nuclear deal by 31 May 2026

EDGE / compressed / second adverse leg · Polymarket

Second adverse leg: YES 19¢ → 28¢ (NO 81¢ → 72¢, −9pp on the NO side). Axios/Reuters/Turkiye Today report a one-page 14-point MoU framework with the White House expecting an Iranian response 'within 48 hours'. Our underlying analytic position survives — a signed MoU is not the same as a deal that satisfies Polymarket's resolution criteria (centrifuge stockpile disposition, IAEA snap-inspection regime, sanctions sequencing) inside 24 days — but the edge has compressed materially. Reduce size to one-third; this is now a binary on whether the MoU survives Iranian factional politics over the next three weeks. ▷ POLYMARKET

06 MIDDLE EAST BUY NO @ 25¢

US–Iran nuclear deal by 30 Jun 2026

EDGE / partial retrace / supportive · Polymarket

Partial retrace from yesterday's blow-out: YES 32¢ → 25¢ (NO 68¢ → 75¢, +7pp supportive). Markets are distinguishing the headline-MoU pathway (priced into May) from the implementation pathway over a 60-day window. Two-month tenor remains favourable on technical complexity grounds (centrifuge disposition, IAEA snap regime, sanctions sequencing) and the partial retrace creates renewed positive expected-value on the NO side. Hold and reload incremental size. ▷ POLYMARKET

07 MIDDLE EAST BUY NO @ 17¢

Iranian regime falls before 2027

EDGE / +~10 pp / hold · Polymarket

Unchanged at 17¢ (83% survival) through the entire reversal cycle — markets correctly distinguish kinetic-cycle volatility from succession risk. Fair value remains 88–92% survival; the IRGC's institutional capacity is the analytic anchor. The MOU pathway, if real, actually re-legitimates the regime by re-engaging it diplomatically. Hold. ▷ POLYMARKET

PREDICTION MARKETS

08 MIDDLE EAST BUY NO @ 33¢

Strait of Hormuz traffic returns to normal by 30 Jun 2026

EDGE / largest two-day adverse / size cut · Polymarket

Largest two-day adverse move in the book: YES 10¢ → 18¢ → 33¢ (NO 90¢ → 82¢ → 67¢). Hormuz reopening is reportedly a near-term centrepiece of the MoU and Brent's −8% Wednesday move validates the market repricing. Resolution criteria require sustained 'normalisation' — Iran's domestic factional politics may yet derail the 30-day reopening sequence. Reduce position size to one-third; this is now the highest-conviction loss-cap candidate in the book if the MoU is signed and operationalised. ▷ POLYMARKET

09 NORTH AMERICA BUY YES @ 8¢

US invades Mexico in 2026

EDGE / asymmetric tail · Polymarket

Tail-risk hedge. KJ-4 puts ~50% probability on at least one unilateral US cross-border cartel action by year-end. Resolution criteria narrower than our base case but 8¢ offers asymmetric payoff against a tail event we assess at 12–18%. ▷ POLYMARKET

10 SOUTH AMERICA SELL MADURO @ 64¢

Maduro as Venezuela leader at end of 2026

EDGE / +~50 pp · Polymarket

Maduro was physically removed by US forces on 3 January. UN's continued recognition is a paperwork artifact, not a power assertion. Acting President Rodríguez governs on the ground. The market is pricing recognition lag, not control. Pair trade: buy Rodríguez at 22¢. ▷ POLYMARKET

REGIONAL READ-THROUGH

EUROPE

Year-end ceasefire holds at 26¢; Putin-out at 12¢. Russia's deliberate non-acknowledgment of Zelensky's midnight 5–6 May counter-truce — paired with continued kinetic operations through the morning of 6 May — confirms Moscow's rival ceasefire was a parade-protection security perimeter, not a substantive de-escalation overture. The Mosfilm tower drone strike and the Moscow-as-fortress security posture (airport closures, mobile internet shutdowns, snipers) reset expectations on Russian air-defence credibility but do not move year-end resolution-criteria pricing. Positions hold; no edge in adding.

SAHEL

The largest blind spot remains. The 25–26 April JNIM offensive — simultaneous strikes on Bamako airport, Kati military HQ, the Defence Minister's residence, and Mopti, Sevare and Gao — is the most consequential validation yet of the regime-fragility frame, and Polymarket still has no liquid contract on Mali junta survival, AES-bloc cohesion, JNIM territorial control, or ECOWAS standby activation. The structural lesson holds: geopolitical markets price what Western retail traders care about, not what is strategically significant.

SOUTH ASIA

Trade #04 holds at 23¢ on the day of the Sindoor anniversary. The IAF's 1:05 AM IST 7 May commemorative video 'India Forgives Nothing' is the most assertive public-messaging signal of the cycle and a structural confirmation that the strike model is now institutionalised. No LoC incident in the past 24h. Through-year band 45–55%; edge 22–32pp. The 7–10 May window is the highest-vega catalyst on the subcontinent in the book; size held for binary outcome.

MIDDLE EAST

Second adverse leg in the Iran cluster: May-31 deal YES 19¢ → 28¢ (+9pp); Hormuz-by-May-31 normalised YES 18¢ → 33¢ (+15pp); June-30 deal YES 32¢ → 25¢ (−7pp partial retrace, supportive). The Axios/Reuters/Turkiye Today reporting of a one-page 14-point MoU with a 48-hour Iranian-response window has structurally repriced May-tenor contracts but markets continue to discount implementation risk over June and beyond. Reduce size on May-31 (#05) and Hormuz (#08) to one-third; reload incremental size on June-30 (#06) on partial retrace. Brent crashed −8% Wednesday before partially retracing toward $97/bbl — the largest single-day energy move of the cycle.

NORTH AMERICA

Cartel-war markets stable: US invasion 8¢, Sheinbaum-out 8¢. The Sinaloa political fallout has settled into the steady-state phase: governor and Mazatlán mayor have stepped down; the NYT's 1 May 'We Have Always Known' reframing depoliticises the indictment domestically while structurally locking in the kingpin-strategy logic. The unilateral-US-kinetic tail remains underpriced; our 8¢ buy stands.

SOUTH AMERICA

PREDICTION MARKETS

The Maduro mispricing remains the single most distinctive trade in the book. Acting President Rodríguez's 14 April ‘Venezuela free of sanctions’ address and the subsequent US Treasury specific licenses for Banco de Venezuela, Banco del Tesoro and Banco Digital de los Trabajadores operationalise the US–business engagement track on the financial side without formal re-recognition. Year-end Maduro contract holds at 64¢; our valuation is sub-15¢. Pair trade: short Maduro at 64¢, long Rodríguez at 22¢.

▷ METHODOLOGY

Probabilities cited are real-time as of market close 7 May 2026; prices may have moved by publication. High-conviction trades require either a market price diverging from our assessment by ≥10 percentage points or near-certainty on the editorial side. Position sizing should reflect resolution timeline, market liquidity, and correlation across the book. Trades 01, 05, 06, 07, 08 are correlated long-stalemate exposure; size accordingly.

08 / METHOD

ESTIMATIVE LANGUAGE & SOURCING

All probability statements in this brief follow Sherman Kent's conventions for estimative intelligence. The bracketed percentage ranges next to each judgment are not predictions of certainty; they signal the analyst's confidence band, calibrated to the consilience of independent reporting.

ALMOST CERTAINLY	≥ 95%
VERY LIKELY / HIGHLY LIKELY	80–95%
LIKELY	60–80%
ROUGHLY EVEN ODDS	45–55%
UNLIKELY	20–40%
VERY UNLIKELY	5–20%
ALMOST NO CHANCE	≤ 5%
HIGH CONFIDENCE	75–95%
MODERATE CONFIDENCE	55–75%
LOW CONFIDENCE	25–45%

Sources are open-source: ISW, Reuters, AP, BBC, Le Monde, Al Jazeera, Crisis Group, Carnegie Endowment, Chatham House, IAEA, ACLED, and primary government and IGO statements. Photographs are credited beneath each opening image. Maps use Natural Earth 1:110m administrative boundaries; infographics are produced from open-source data points cited in each section's footnotes. Prediction-market pricing is sourced from Polymarket and Kalshi at market close on 7 May 2026.

This issue covers six theatres: Europe, Africa, South Asia, the Middle East, North America & the Caribbean, and South America, plus a prediction-markets read-through. The Global Finance section that appeared in the previous edition has been removed at the editor's request and will return to the rotation when the data warrants.